

Internal Underwriting Policies

Source: Company Underwriting Manual, Rev. 2024-Q4 Effective: October 1, 2024

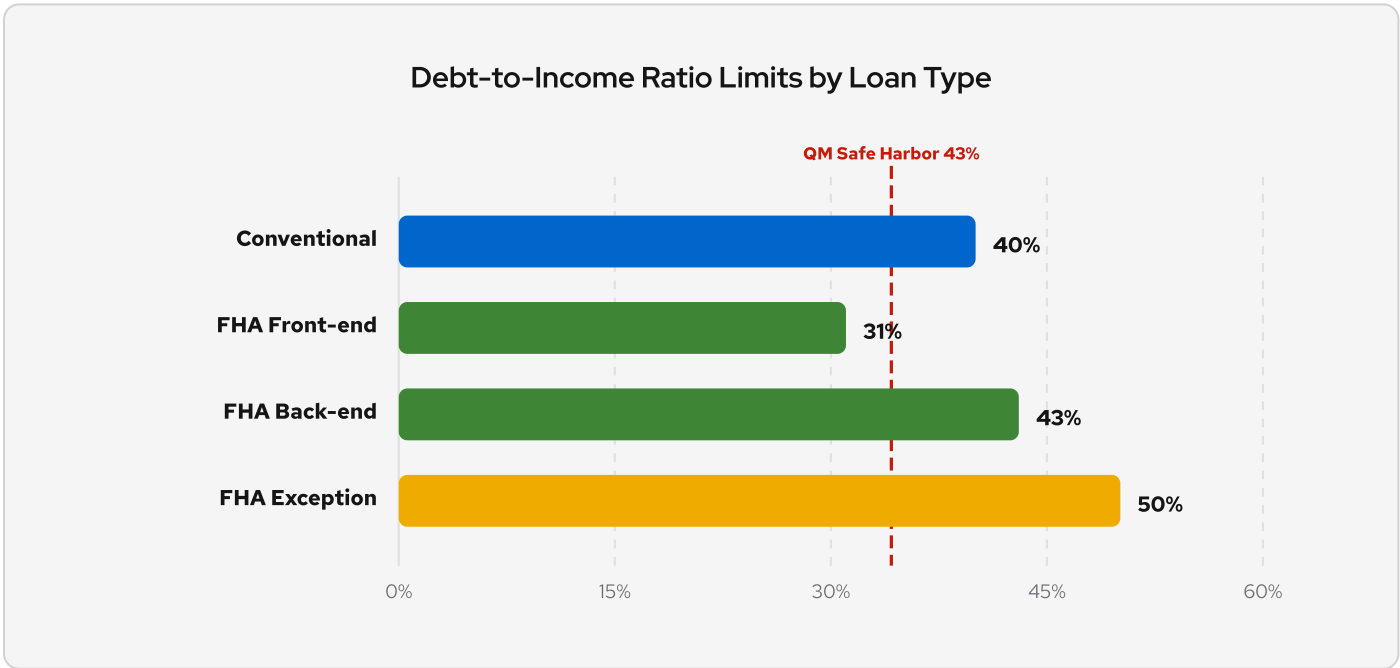
CONFIDENTIAL

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DTI Limits

The Company sets a maximum back-end DTI ratio of 40% for conventional loans, which is more conservative than the federal QM safe harbor of 43%. This overlay exists to reduce default risk in the Company's portfolio. Exceptions may be granted by the Chief Credit Officer for borrowers with a credit score above 760 and verified liquid reserves exceeding 12 months of housing payments.

For FHA loans, the Company follows FHA guidelines (31/43) without additional DTI overlays. For VA loans, the Company uses residual income analysis without a hard DTI cap.





Jumbo Loan Thresholds

Loan amounts exceeding the conforming loan limit (\$766,550 for 2024 in most areas, higher in designated high-cost areas) are classified as jumbo loans and subject to enhanced underwriting: minimum credit score of 700, maximum DTI of 38%, minimum 20% down payment, and at least 12 months of reserves.

Jumbo loans must be underwritten by a senior underwriter and require a second review. The property appraisal must include a second comparable analysis for jumbo amounts exceeding \$1.5 million.

\$766,550

CONFORMING
LIMIT (2024)

700

MIN CREDIT
SCORE

38%

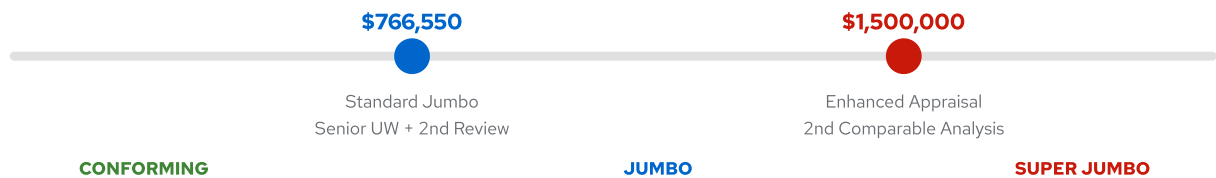
MAX DTI RATIO

20%

MIN DOWN
PAYMENT

12 mo

MIN RESERVES

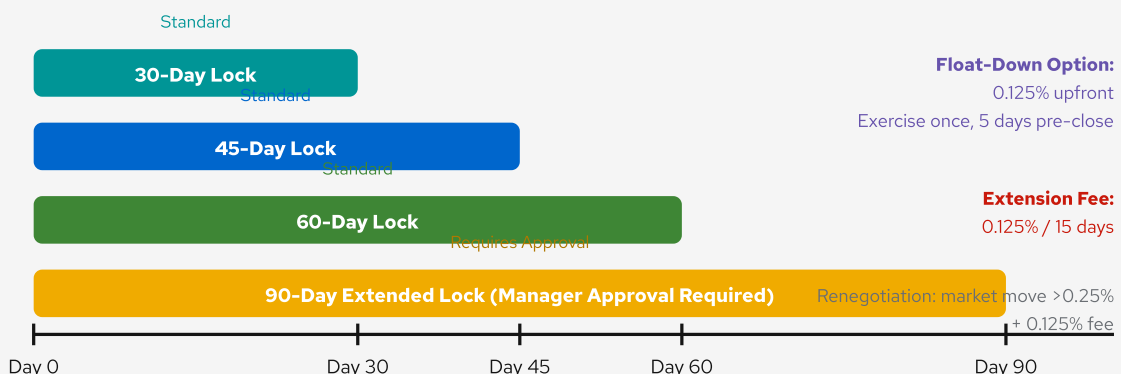


Rate Lock Policy

Rate locks are available for 30, 45, or 60 day periods. Extended locks (90 days) require manager approval. Lock extensions beyond the original period incur a fee of 0.125% per 15-day extension. Renegotiation of locked rates is permitted only for market improvements exceeding 0.25% from the original lock date, subject to a renegotiation fee of 0.125%.

Float-down options are available at an additional cost of 0.125% upfront. Float-down may be exercised once, no later than 5 business days before the scheduled closing date.

Rate Lock Periods and Fee Structure





Exception Process

Underwriting exceptions must be documented on the Exception Request Form and approved by the appropriate authority level: Senior Underwriter for minor exceptions (single factor, low risk), Underwriting Manager for moderate exceptions (DTI override up to 45%, LTV override up to 2%), and Chief Credit Officer for major exceptions (multiple factors or significant deviation from policy).

All exceptions must include a written justification explaining the compensating factors that mitigate the additional risk. Exception approvals are audited quarterly and reported to the Risk Committee.

Exception Approval Authority

MAJOR

Chief Credit Officer

Multiple factors or
significant policy
deviation

MODERATE

Underwriting Manager

DTI override up to 45% or LTV
override up to 2%

MINOR

Senior Underwriter

Single factor, low risk exceptions

AUDIT & GOVERNANCE

All exceptions audited quarterly and reported to Risk Committee

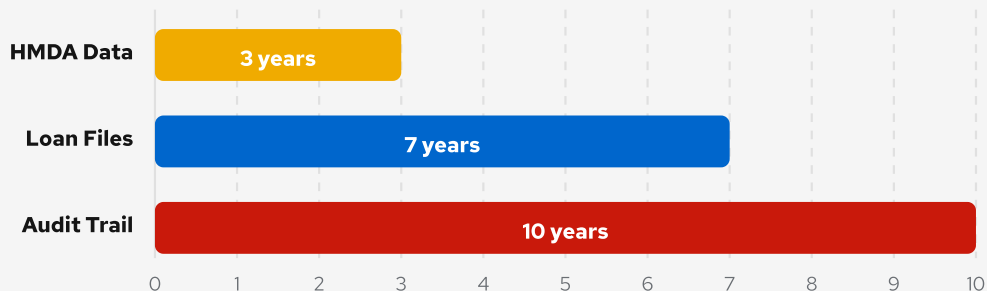


Document Retention

Loan files must be retained for a minimum of 7 years from the date of final disposition (closing, denial, or withdrawal). HMDA-related data must be retained for 3 years following the March 1 submission deadline. Audit trail records must be retained for 10 years.

Electronic document storage must comply with the E-SIGN Act and maintain document integrity through checksums or digital signatures.

Minimum Retention Periods (Years)



Compliance Note: Electronic document storage must comply with the E-SIGN Act and maintain document integrity through checksums or digital signatures.